IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH, CHENNAI

CP/1&2/CAA/2019
In
CA/64&65/CAA/2018

Under Section 230 to 232 of the Companies Act 2013

In the matter of Scheme of Amalgamation

Between

M/s. DYNAVISTA INDUSTRIES PRIVATE LIMITED
(Transferor Company)

With

M/s. ECOF INDUSTRIES PRIVATE LIMITED
(Transferee Company)

And

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order delivered on: 11th March, 2019

CORAM

B.S.V. PRAKASH KUMAR, MEMBER (JUDICIAL)

S.VIJAYARAGHAVAN, MEMBER (TECHNICAL)

For the Petitioner(s): Mr. R. Kannan, *PCS*
For OL: K. Manivannan, Authorised Representative

ORDER

Per: B.S.V. PRAKASH KUMAR, MEMBER (JUDICIAL)

Order Pronounced on: 11.03.2019

1. Under Consideration are two Company Petitions No. 1&2/CAA/2019 filed under Sections 230 to 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and National Company Law Tribunal Rules, 2016. The instant Petitions pertain to the proposed Scheme of Amalgamation by virtue of which **M/s. Dynavista**

Industries Private Limited (hereinafter referred to as '**Transferor Company**) is proposed to be amalgamated and vested with **M/s. ECOF Industries Private Limited** (hereinafter referred to as '**Transferee Company**) as a going concern.

2. The Transferor Company is a private limited company, incorporated on 12.07.1996 under the provisions of the Companies Act, 1956, having its registered office at No. 3, Bheemanna Garden Street, Abhirampuram, Chennai – 600018, in the State of Tamil Nadu. The Transferee Company is a private limited company, incorporated on 04.05.1995 under the Companies Act 1956, and has its registered office at No. 3, Bheemanna Garden Street, Abhirampuram, Chennai – 600018, in the State of Tamil Nadu.

3. The main objects of the Transferor Company undertake manufacturing of scouring powder and detergents whereas the Transferee Company undertakes manufacturing and marketing activities. The details of which are elaborately set out in Clause III of the Memorandum of Association of the Transferor Company and Transferee Company. The Board of Directors of Petitioner Companies vide its Resolution dated 09.01.2018 approved the said Scheme of Amalgamation.

4. This Bench vide Order dated 10.07.2018, in CA/64&65/CAA/2018 dispensed with the convening and holding of the meeting of the Equity Shareholders, of the Transferor Company and the Transferee Company. The

Transferor Company and Transferee Company have one Secured Creditor and furnished the consent affidavits from the said Creditor and hence no meeting of the secured creditor was ordered. In respect of unsecured creditors, both the companies have furnished the consent affidavits from the unsecured creditor's valued at more 90% of the outstanding amount before this Tribunal. Hence the meeting of the unsecured creditors was dispensed with. In short, the Petitioner Companies have complied with all the requirements of law.

5. The Counsel appearing for the Petitioner Companies submitted that the proposed Scheme of Amalgamation will be beneficial to the Petitioner Company and the Transferee Company and will result in better and more efficient operation of the Companies.

6. The Scheme provides that the whole of the undertaking of the Transferor Company being transferred to and vested in the Transferee Company in pursuance of this Scheme, Company as a going concern so as to become, as from the Appointed Date, the undertaking of the Transferee Company and to vest in the Transferee Company all the rights, title, interest or obligations of the Transferor Company therein.

7. The Regional Director, Southern Region (for short, '**RD**') in his Affidavit submitted that clause 4 of Part II of the scheme of the companies provides for

the protection of the interest of the executives/employees/staff of the transferor company.

8. The RD has further submitted that as per the report of RoC, Chennai, the transferor and transferee Companies are regular in filing their statutory returns. There is no complaint against the employees/staff of the Transferor and the Transferee Companies.

9. The RD has also submitted that as per Clause 7.1 of Part II of the Scheme, the authorised capital of the Transferor Companies will be merged with the authorised capital of the Transferee Company. The RD suggested that the transferee company may be directed to file the amended MOA and AOA with the ROC, Chennai for their records. The RD has further submitted that as per clause (1) to Sub-Section (3) of Section 232 of the Companies Act 2013, the transferee company has to pay the fees, if any, for the enhanced authorised capital subsequent to the amalgamation after setting off the fees paid by the transferor company. The Counsel for the applicant company submitted that the transferee company undertakes to file revised MOA and AOA with the Registrar of Companies, Chennai and further the Transferee Company undertakes to pay any amount as fees towards the enhanced Authorised Capital. RD further submits that the applicant Transferor Company viz., M/s. Dynavista Industries Private Limited, seeks dissolution without winding up.

10. The Official Liquidator (In short, **'OL'**) in his Report dated 22.11.2018, submitted that as per Order dated 10.07.2018, he has nominated M/s. S. D. Raj Associates, Chartered Accountants, Chennai, who is one of the empanelled Auditors by the Hon'ble High Court of Madras to look into the Scheme of Amalgamation and to scrutinize the books and accounts of the Transferor Companies. The Auditor has broadly reviewed and observed that under Clause 4.1 of Part-II of the proposed Scheme, the interest of all the executives, staff, workmen and other permanent employees in the service of the Transferor Company is safeguarded. He has submitted that as per Clause 8.1 of Part-II of the Scheme, upon coming into effect of the Scheme and in consideration for the transfer and vesting of the business of the Transferor Company into the Transferee Company, the Transferee Company shall, without any further application or deed, issue and allot fully paid up shares in the Transferee Company to the shareholders of the Transferor Company as the case may be, on the Record date, as may be fixed by the Boards of Directors of the Transferee Company in the following manner –

" To every holder of the equity shares in the Transferor Company, 0.03 equity shares of Rs. 100/- each credited as fully paid up in the Transferee Company for every 1 (One) equity share of Rs. 100/- each fully paid up and held by such shareholders in the Transferor Company."

11. The OL has stated that the chartered Accountants have scrutinised all the statutory registers, records maintained by the Transferor Company under the Companies Act, 2013 and found that they have maintained proper books of accounts as per the requirements of the Companies Act, 1956 read with relevant provisions of the Companies Act, 2013.

12. The Chartered Accountants have concluded that on scrutiny of the records of the Transferor Company, that the affairs of the Transferor Company were not conducted in a manner which were prejudicial to the interest of their members, or their creditors, or to be the public, nor were there any transactions which may attract the provisions of Section 394(1) of the Companies Act, 1956 and other relevant provisions of the Companies Act, 2013.

13. As per Clause 9 of Part-II of the Scheme, it appears that the Accounting Treatment is in conformity with the Accounting Standards.

14. There is no additional requirement for any modification and the said Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under Sections 230 to 232 of the Companies Act, 2013. Taking into consideration the above facts, the Company Petitions

are allowed and the Scheme of Amalgamation annexed with the Petitions is hereby sanctioned which shall be binding on the shareholders, creditors and employees of the Companies. The Scheme shall become effective from the date on which the certified copy of this order sanctioning the scheme is filed with the ROC, Chennai.

15. While approving the Scheme as above, it is clarified that this Order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law. The Transferee Company is directed to file the amended MoA and AoA with the RoC, Chennai, for records, and pay the fee, if any, on its enhanced authorised capital, as may be applicable.

16. The Companies to the said Scheme or other person interested shall be at liberty to apply to this Bench for any direction that may be necessary with regard to the working of the said Scheme.

17. A certified copy of this Order shall be filed with the concerned Registrar of Companies within 30 days of the receipt of the Order.

18. The Transferor Companies shall be dissolved without winding up from the date of the filing of the certified copy of this Order with the Registrar of Companies.

19. Upon receiving the certified copy of this Order, the RoC, Chennai, is directed to send all documents relating to the Transferor Companies to the Transferee Company, so that the files relating to the Transferor Companies could get consolidated with the files and records of the Transferee Company.

20. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 notified on 14th December, 2016.

21. Accordingly, the Scheme stands sanctioned and CP/1&2/CAA/2019 **stands disposed of.**

(S. Vijayaraghavan)
Member (Technical)

(B. S.V. Prakash Kumar)
Member (Judicial)

Arpan